

Chapter 2:-CAPITAL STRUCTURE

Meaning & Concept

Capital structure refers to the proportion or combination of different long-term sources of finance used by a business enterprise.

Important sources of long-term finance

- Equity share capital
- Preference share capital
- Reserves and surplus
- Debentures
- Long-term loans

Basic Formula

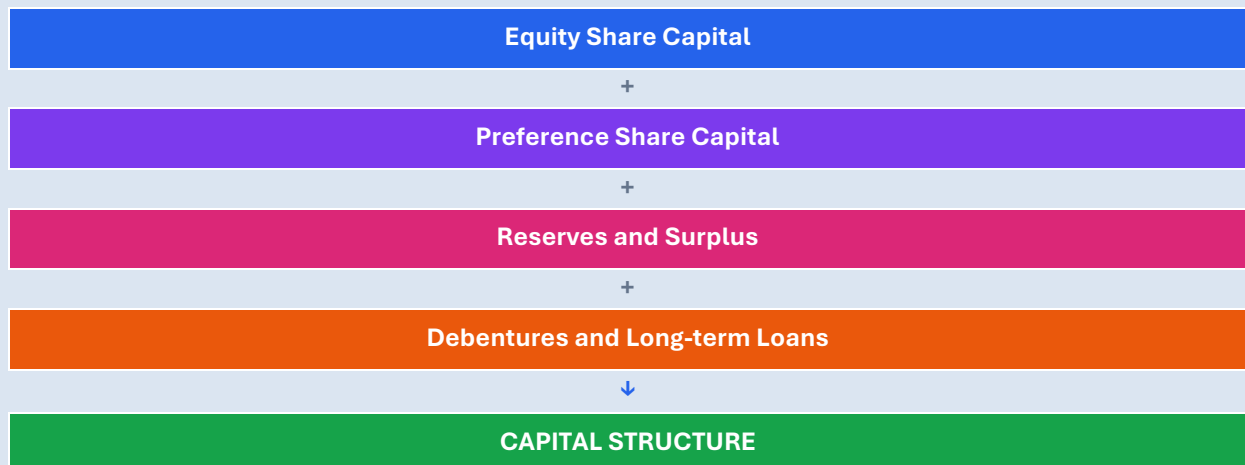
$$\text{Capital Structure} = \text{Equity} + \text{Preference Capital} + \text{Long-term Debt}$$

If reserves and surplus are shown separately

$$CS = E + R + P + D$$

Where: CS = Capital Structure E = Equity Share Capital R = Reserves and Surplus P = Preference Share Capital D = Long-term Debt

Capital Structure Flow-chart



DEFINITIONS OF CAPITAL STRUCTURE

Gerstenberg

According to Gerstenberg, capital structure means the composition or make-up of the capitalization of a firm, including the various forms of long-term securities and funds used by the company.

Weston and Brigham

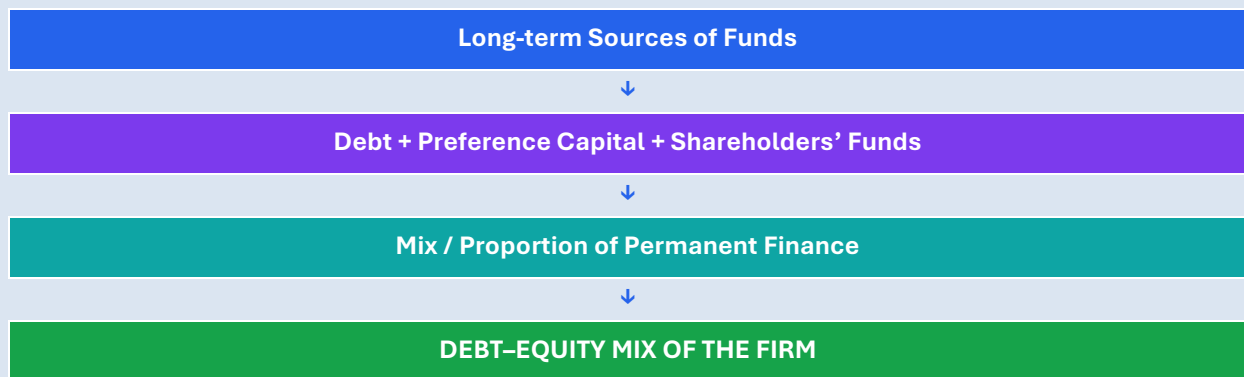
According to Weston and Brigham, capital structure refers to the permanent financing of a firm represented primarily by long-term debt, preference capital and shareholders' equity.

I. M. Pandey

According to I. M. Pandey, capital structure refers to the mix of long-term sources of funds, particularly debt, preference capital and shareholders' funds used by a firm.

Simple Meaning: Debt–Equity Mix of the Firm

Quick Concept Flow-chart



FINANCIAL STRUCTURE

Meaning

Financial structure means the entire composition of the liabilities side of the balance sheet.

It includes both:

- Short-term sources of finance
- Long-term sources of finance

Formula

$$\text{Financial Structure} = \text{Current Liabilities} + \text{Long-term Debt} + \text{Preference Capital} + \text{Shareholders' Funds}$$

Symbolically

$$FS = CL + LTD + PC + SF$$

Where: FS = Financial Structure CL = Current Liabilities LTD = Long-term Debt PC = Preference Capital SF = Shareholders' Funds

Financial Structure Flow-chart

Current Liabilities

+

Long-term Debt

+

Preference Capital

+

Shareholders' Funds

↓

FINANCIAL STRUCTURE

Note: Financial structure covers both short-term and long-term financing. Capital structure represents the long-term financing mix within it.

ASSET STRUCTURE

Meaning

Asset structure refers to the composition of different assets in which the funds of the business are invested.

It includes:

- Fixed or non-current assets
- Current assets

Formula

$$\text{Asset Structure} = \text{Non-current Assets} + \text{Current Assets}$$

Symbolically

$$AS = NCA + CA$$

Where: AS = Asset Structure NCA = Non-current Assets CA = Current Assets

Asset Structure Flow-chart

Funds of the Business



Investment in Assets



NON-CURRENT ASSETS

Fixed / long-term assets

CURRENT ASSETS

Short-term operating assets

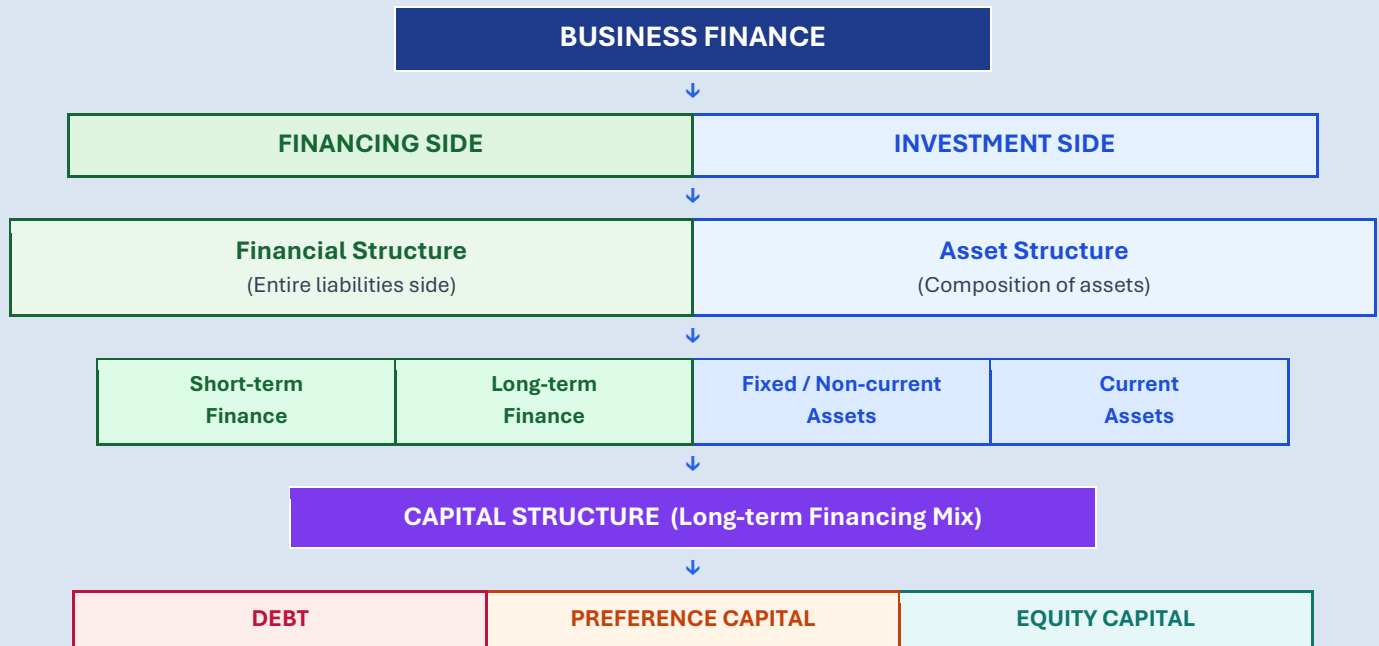


ASSET STRUCTURE

Simple Meaning: Asset structure shows where the funds of the business are invested.

RELATIONSHIP BETWEEN FINANCIAL, CAPITAL & ASSET STRUCTURE

Relationship Flow-chart



Quick Revision

FINANCING SIDE	INVESTMENT SIDE
Financial Structure = entire liabilities side	Asset Structure = composition of assets
Capital Structure = long-term financing mix	Funds are invested in non-current and current assets

Key Idea: Financial Structure explains how the business is financed; Capital Structure focuses on the long-term mix; Asset Structure explains how those funds are invested.

EBIT–EPS ANALYSIS

Meaning & Purpose

EBIT–EPS Analysis is used to compare different financing alternatives and determine their effect on Earnings Per Share (EPS).

EBIT

Earnings Before Interest and Tax

EPS

Earnings Per Equity Share

Formula

$$\text{EPS} = [(\text{EBIT} - \text{I})(1 - \text{T}) - \text{PD}] / \text{N}$$

Where: I = Interest T = Tax Rate PD = Preference Dividend N = Number of Equity Shares

Calculation Flow

EBIT

↓ Less: Interest

EBT (Earnings Before Tax)

↓ Less: Tax

EAT (Earnings After Tax)

↓ Less: Preference Dividend

Earnings for Equity Shareholders

↓ ÷ Number of Equity Shares

EPS (Earnings Per Share)

Logic: Start from EBIT, deduct financing charges and tax, arrive at earnings available to equity shareholders, and divide by the number of equity shares.

EBIT-EPS ANALYSIS – PRACTICAL

Question / Given Information

A company requires ₹10,00,000 and has three financing alternatives.

ALTERNATIVE I – ALL EQUITY

Equity = ₹10,00,000

ALTERNATIVE II – EQUITY + PREFERENCE

Equity = ₹5,00,000

Preference Capital = ₹5,00,000 @ 10%

ALTERNATIVE III – EQUITY + DEBT

Equity = ₹5,00,000

Debt = ₹5,00,000 @ 12%

Other Information

EBIT

₹2,00,000

Tax Rate

30%

Share Price

₹10

Preliminary Calculations

$$\text{Number of Equity Shares} = \text{Equity Capital} \div \text{Share Price}$$

Alternative I

$$₹10,00,000 \div ₹10 = 1,00,000 \text{ shares}$$

Alternative II

$$₹5,00,000 \div ₹10 = 50,000 \text{ shares}$$

Alternative III

$$₹5,00,000 \div ₹10 = 50,000 \text{ shares}$$

$$\text{Preference Dividend} = ₹5,00,000 \times 10\% = ₹50,000$$

$$\text{Interest on Debt} = ₹5,00,000 \times 12\% = ₹60,000$$

EBIT–EPS STATEMENT & DECISION

Comparative EBIT–EPS Statement

Particulars	All Equity	Equity + Preference	Equity + Debt
EBIT	₹2,00,000	₹2,00,000	₹2,00,000
Less: Interest	Nil	Nil	₹60,000
EBT	₹2,00,000	₹2,00,000	₹1,40,000
Less: Tax @ 30%	₹60,000	₹60,000	₹42,000
EAT	₹1,40,000	₹1,40,000	₹98,000
Less: Preference Dividend	Nil	₹50,000	Nil
Earnings for Equity	₹1,40,000	₹90,000	₹98,000
No. of Equity Shares	1,00,000	50,000	50,000
EPS	₹1.40	₹1.80	₹1.96

EPS Comparison

ALL EQUITY EPS = ₹1.40	EQUITY + PREFERENCE EPS = ₹1.80	EQUITY + DEBT EPS = ₹1.96
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Equity + Debt > Equity + Preference > All Equity

Conclusion

Best Alternative: Equity + Debt, because it gives the highest EPS of ₹1.96.

Decision Logic

All Equity → Earnings ₹1,40,000 ÷ 1,00,000 shares → EPS ₹1.40



Equity + Preference → Earnings ₹90,000 ÷ 50,000 shares → EPS ₹1.80



Equity + Debt → Earnings ₹98,000 ÷ 50,000 shares → EPS ₹1.96

Exam Point: From the EPS point of view, the financing alternative with the highest EPS is preferred. Therefore, Equity + Debt is selected in this example.

Link with Capital Structure

Capital Structure chooses the financing mix; **EBIT–EPS Analysis** compares its effect on EPS.